

CLIMATE ECONOMICS

GREEN FINANCE + CIRCULAR ECONOMY

Economy Topic 25 | Current-source cutoff: 10 September 2026

01 MARKET FAILURE

Externality: social cost exceeds private cost

V

Public-bad, commons and intergenerational dimensions

V

Uncertainty changes valuation, not the existence of risk

02 RESPONSE TRIAD

Mitigation cuts emissions or strengthens sinks

V

Adaptation reduces exposure and vulnerability

V

Loss and damage addresses residual harm

03 CARBON VALUES

SCC is modelled marginal damage

V

Tax fixes price; cap fixes allowance quantity

V

Baseline-credit and offsets use counterfactual benchmarks

04 INTEGRITY

MRV, additionality and conservative baselines

V

Leakage, permanence and no double counting

V

Certificate issuance is not outcome proof

05 INDIA MARKETS

PAT ESCert = energy-saving performance

V

REC = renewable-electricity attribute

V

CCTS CCC = tCO₂e under scheme rules

06 CCTS STATUS

Notified 28 June 2023; offset arm 19 December 2023

V

490 obligated entities notified by 13 January 2026

V

Steel targets dated 26 June 2026 remained draft

07 CLIMATE FINANCE

Provided, mobilised, committed and disbursed differ

V

Concessionality and additionality are distinct

V

Blended finance should solve a named barrier

08 GREEN INSTRUMENTS

Green bond ring-fences eligible use of proceeds

V

FY23-24 SGrB issue: Rs 20,000 crore

V

Greenium does not establish environmental impact

09 RBI + SEBI

Green-deposit directions: 28 November 2025

V

RBI disclosure framework remained draft at cutoff

V

BRSR Core: top 500 FY25-26; top 1,000 FY26-27

10 TAXONOMY

DEA framework dated 7 May 2025 remained draft

V

Activity, threshold and safeguards define eligibility

V

Trace label to allocation, output, outcome and additionality

11 CIRCULARITY

Refuse and redesign precede recycling

V

LCA prevents burden shifting

V

EPR needs traceability and informal-worker safeguards

12 POLICY MIX

Price + standards + innovation + public investment

V

Just transition protects workers, regions and consumers

V

Judge emissions, resilience, throughput, jobs and fiscal risk

MAINS SPINE

Define -> Date and locate authority -> Trace price / finance / material flow
-> Test MRV, additionality, leakage, greenwashing and rebound -> Evaluate emissions, resilience, jobs, equity and fiscal risk